Cumulus Bank

Commercial banking from Cumulus Bank

COMMERCIAL LENDING

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PRODUCT BROCHURE · COMMERCIAL LENDING

Equipment Loans

Fixed-rate equipment financing for transportation, medical, manufacturing, technology, and construction assets — up to 100% advance, structured to the useful life of the asset.

PRODUCT TYPE	Fixed-rate equipment term loan
AMOUNT CEILING	Up to 100% of equipment cost (Cumulus clients)
NON-CLIENT MAXIMUM	90% of equipment cost
RATES	6.25% – 9.75% fixed APR
TERMS	24 – 84 months (hard collateral) · 24 – 60 months (soft)
COLLATERAL	Specific-lien UCC-1 on financed equipment
SECTORS	Transportation · medical · manufacturing · tech · construction
DOCUMENTATION	Note, security agreement, UCC-1, vendor invoice

AT A GLANCE

Overview

A Cumulus Equipment Loan finances the purchase of commercial equipment with a fixed-rate term loan collateralized by the financed asset. Because the collateral is discrete and title-controllable, Cumulus can typically advance up to 100% of invoice cost for established relationship clients, offer specialized terms matched to the asset's useful life, and decision straightforward transactions in days rather than weeks. Equipment loans are appropriate when the borrower wishes to own the equipment at loan payoff and to depreciate it on the balance sheet; for off-balance-sheet or shorter-use transactions, consider Cumulus Equipment Leasing.

WHY FINANCE WITH CUMULUS

Key benefits

UP TO 100% ADVANCE

Up to 100% advance

Cumulus relationship clients qualify for financing up to 100% of the equipment invoice, inclusive of delivery, installation, sales tax, and soft costs within limits.

ASSET-MATCHED TERM

Asset-matched term

Terms calibrated to useful life: up to 84 months for long-lived hard collateral (heavy trucks, CNC, medical imaging); 24–60 months for soft collateral (IT, software).

SIMPLE, FAST DECISIONING

Simple, fast decisioning

Application-only programs up to $500,000; streamlined credit review up to $2,000,000. Decisioned within 3–5 business days on complete packages.

SECTION 179 AND BONUS DEPRECIATION

Section 179 and bonus depreciation

Ownership structure preserves the borrower's right to take Section 179 expensing and bonus depreciation on the financed equipment (consult tax advisor).

SECTOR SPECIALISTS

Sector specialists

Dedicated underwriters for transportation, medical, construction, and industrial equipment — including familiarity with equipment titling (MVR), DOT compliance, and regulated-equipment processes.

PROGRESS-PAYMENT STRUCTURES

Progress-payment structures

Long-lead-time equipment financed with progress-payment funding through delivery and acceptance, then converted to term at first installment.

WHAT WE FINANCE

Sectors and asset classes

SECTOR	TYPICAL ASSETS	MAX ADVANCE	TYPICAL TERM
Transportation	Class 8 tractors, trailers, vocational trucks, buses, chassis fleets	100% hard / 85% used	60–84 months
Medical	Imaging (CT/MRI/PET), surgical robotics, dental CBCT, clinical lab analyzers	100% (major OEM)	60–84 months
Manufacturing	CNC machine tools, injection molding, packaging lines, machine-shop equipment	100% hard	72–84 months
Technology	Servers, storage, network, endpoint devices (soft collateral)	80–90%	24–48 months
Software / capitalized SaaS	Capitalized internal-use software, ERP implementations	70% of capitalized cost	24–36 months
Construction	Excavators, loaders, cranes, aerials, dozers, compactors	90–100%	60–84 months
Restaurant / hospitality	Kitchen equipment, POS systems, refrigeration, ovens	85–90%	60–72 months

PRICING

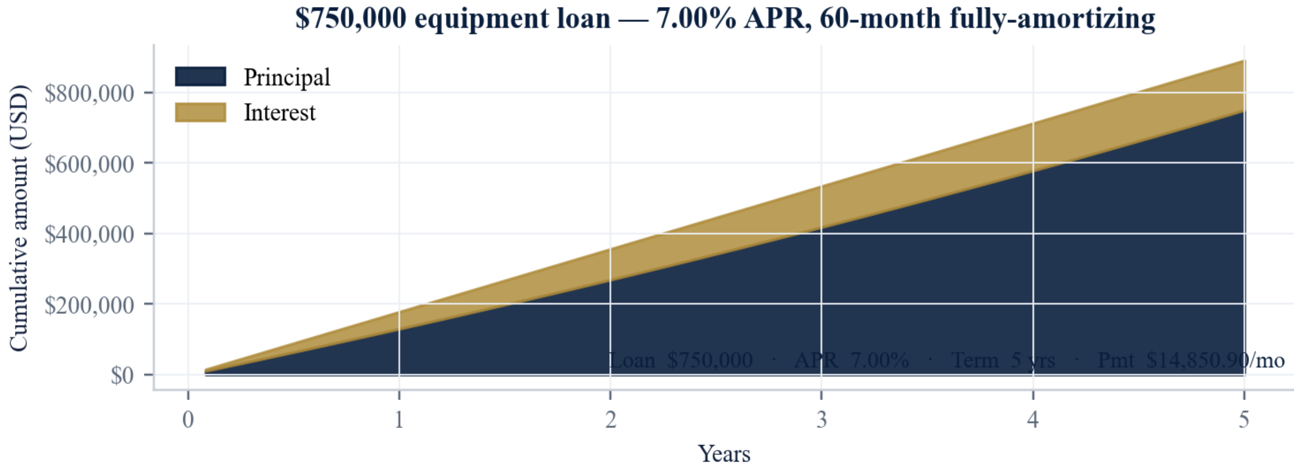
Rates and fees

RISK GRADE · PROFILE	36-MONTH	60-MONTH	84-MONTH	ORIGINATION FEE
Grade 1–2 · relationship client, new equipment	6.25%	6.50%	6.75%	$500 flat
Grade 3 · relationship client, used equipment (≤ 3 yr)	6.75%	7.00%	7.25%	$750
Grade 4 · non-relationship, new equipment	7.50%	7.75%	8.00%	1.00% of amount
Grade 5 · non-relationship, used equipment	8.25%	8.50%	8.75%	1.00%
Grade 6 · specialty / stretch structure	9.00%	9.25%	9.50%	1.25%
Grade 7 · higher risk / niche collateral	9.50%	9.75%	9.75% (max 72 mo)	1.50%

AMORTIZATION

Illustrative fleet financing

The chart below models a $750,000 equipment loan financing a five-tractor Class 8 refresh at 7.00% APR over a 60-month fully-amortizing schedule. Depreciation under MACRS 5-year class life (consult tax advisor) runs in parallel to the loan amortization, with equipment typically fully depreciated 12 months before final loan payoff.



CREDIT STANDARDS

Underwriting and documentation

Credit parameters

— Minimum DSCR of **1.20x** on a trailing-twelve-month basis; global DSCR including personal guarantors for smaller facilities.

— Minimum two years of operating history; start-ups considered with strong sponsor experience or franchise support.

— Personal guaranty from each 20%+ owner; waivable for large corporate borrowers or established relationship clients above $2M.

— Advance capped to vendor-invoice amount, net of trade-in or progress payments received from borrower.

Application package

— Vendor invoice or purchase order identifying make, model, serial number, and delivery location.

— Two years of business tax returns and a current interim financial statement (application-only up to $500K).

— Personal financial statement and two years of personal tax returns for 20%+ owners.

— Insurance certificate naming Cumulus Bank, N.A. as loss-payee and additional insured, in amount at least equal to financed value.

— Titling documentation (Certificate of Title, MCO) and proof of registration for titled assets.

HOW IT WORKS

Process and timing

STEP	WHAT HAPPENS	TIMING
1 · Application	Client completes application with equipment details and financial statements (waived on application-only programs).	Same day
2 · Approval	Credit review and approval. Application-only programs run automated; larger transactions through Equipment Finance Credit.	1–5 business days

STEP	WHAT HAPPENS	TIMING
3 · Documentation	Loan agreement, promissory note, security agreement, and UCC-1 executed. Vendor invoice and delivery receipt confirmed.	2–5 business days
4 · Funding	Proceeds wired or ACH'd directly to equipment vendor upon delivery and acceptance. Title perfection completed within 30 days.	Day of acceptance
5 · Servicing	Monthly amortizing payments; annual insurance review; UCC continuations filed prior to lapse.	Life of loan

FLEXIBILITY

Structure options

OPTION	PURPOSE	TYPICAL USE
Equal amortizing	Fixed monthly P&I; for the life of the loan	General-purpose equipment financing
Seasonal (skip-payment)	Reduced or deferred payments in low-revenue months	Agriculture, landscaping, seasonal retail
Step-up / step-down	Payments rise or fall on schedule (e.g., ramp during asset-productive phase-in)	New-store equipment, production ramp
90-day deferral	First payment deferred for 90 days to align with revenue contribution from equipment	New-asset revenue ramp
Balloon	Reduced amortization with balloon payment at maturity	Heavy trucks with residual value; may require refinance at balloon
Progress payments	Interim funding to vendor during build / delivery; converts to term at acceptance	Long-lead-time manufacturing equipment

COMMON QUESTIONS

Frequently asked questions

Equipment loan vs. equipment lease — which should I choose?

Choose an equipment loan when you want to own the asset at the end of its useful life and capture depreciation (Section 179, bonus depreciation, MACRS). Choose a lease when you want lower monthly outflows, flexibility to return or upgrade at end-of-term, or off-balance-sheet treatment under an operating lease. Your Cumulus Relationship Manager will run a side-by-side analysis on request.

How fast can a deal close?

Application-only programs (up to $500,000) typically close within 3–5 business days. Larger transactions with full credit underwriting close in 10–15 business days on complete packages. Vendor-financed programs (pre-approved vendor inventory) can fund same-day.

Can I finance used equipment?

Yes. Cumulus finances used equipment up to 85% of market value (or invoice amount, whichever is lower). Asset age and remaining useful life affect term and advance; major-OEM used equipment with service history commands stronger terms than private-party acquisitions.

Does Section 179 apply to equipment loans?

Generally, yes. Under current tax law, equipment financed on a conditional sale / secured loan basis is treated as owned by the borrower for tax purposes, preserving Section 179 expensing and bonus depreciation. Consult your tax advisor for specifics in your situation.

Are progress payments available?

Yes. For long-lead-time equipment (e.g., heavy manufacturing, medical imaging built-to-order), Cumulus can fund vendor progress payments during build and delivery, converting to term amortization upon acceptance. Interim interest accrues at the note rate.

What happens if the equipment is sold or totaled?

On sale: loan must be paid off at closing unless Cumulus consents to a substitution of collateral. On total loss: insurance proceeds are applied to the loan; any deficiency is the borrower's obligation. Guaranteed Asset Protection (GAP) insurance is available to cover deficiency.

DISCLOSURES & REGULATORY NOTICES

Important disclosures

§ Annual Percentage Rate (APR) shown is representative and based on illustrative borrower credit profiles; the rate offered to an individual applicant may differ materially. All extensions of credit are subject to application, underwriting, and verification of income, employment, assets, and collateral.
§ Disclosures are provided pursuant to the Truth in Lending Act (Regulation Z, 12 C.F.R. Part 1026), the Equal Credit Opportunity Act (Regulation B, 12 C.F.R. Part 1002), and the Real Estate Settlement Procedures Act (Regulation X, 12 C.F.R. Part 1024) where applicable.
§ For real-estate-secured credit, flood-zone determination, title insurance, property appraisal, and hazard insurance are required. Flood insurance is required where the property is located in a Special Flood Hazard Area identified by FEMA.
§ Cumulus Bank, N.A. is an Equal Housing Lender. Residential mortgage products are offered through Cumulus Home Lending, a division of Cumulus Bank, N.A.
§ NMLS Consumer Access: www.nmlsconsumeraccess.org · NMLS ID 2026045.
§ Cumulus Bank's security interest in financed equipment is perfected by UCC-1 filing on non-titled equipment and by lien recording on titled equipment (Certificate of Title, MCO). Borrower is responsible for ensuring titling fees, lien-recording fees, and UCC filing fees are paid at funding.
§ Insurance coverage in an amount not less than financed value is required throughout the term, naming Cumulus Bank, N.A. as loss-payee. Lapse of insurance is an event of default and may trigger force-placed insurance at borrower expense.
§ Tax treatment — including eligibility for Section 179 expensing, bonus depreciation, and MACRS recovery — depends on the borrower's individual facts and applicable tax law. Cumulus does not provide tax, legal, or accounting advice; consult your own advisors.

ENGAGE A SPECIALIST

Connect with a Cumulus commercial banker

A Commercial Relationship Manager will assess your business's banking, credit, and treasury needs, coordinate supporting specialists, and return a term sheet or proposal on an expedited timeline. Existing Cumulus clients should contact their dedicated Relationship Manager directly.

COMMERCIAL DESK	954.417.2880 Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET
CLIENT PORTAL	cumulusbank-demo-bb054209d76d.herokuapp.com Apply online, review rates, or schedule an appointment.
TREASURY SERVICES	Commercial banking centers are staffed by appointment. Request a consultation at cumulusbank-demo-bb054209d76d.herokuapp.com/commercial.